

Project Orbit

GitLab Inc. (NAS: GTLB)

Leveraged Buyout Analysis

May 2026

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Transaction Summary

Entry EV

5,059

Offer Price

\$33.31 / share

Offer Premium

30%

Equity Check

3,603

Gross Leverage

12.0x

Base IRR

17.37%

Investment Positioning

Orbit is a leader in AI-native software development with significant expansion promise. At the currently depressed entry valuation, Orbit makes a worthy sponsor candidate at precedent-competitive exit scenarios.

Company Overview



GitLab

Company Information: GitLab

Headquarters:	San Francisco, CA
Ticker:	NAS: GTLB
5/22/26 Market Cap:	4,358
LTM Revenue (\$ mms):	955
LTM Adj. EBITDA (\$ mms):	174
Net Cash	1,260

Public Market Statistics

52-Week Low / High:	\$	18.73 / 52.38
Share Price (5/22/26):	\$	25.62
FY26 GAAP EPS:	\$	(0.34)
FY27 Non-GAAP EPS Guidance:	\$	0.77

Valuation Metrics

EV / NTM Revenue	2.7x
EV / NTM Adjusted EBITDA	17.6x
Non-GAAP Forward P/E	32.8x

Key Metrics

Revenue CAGR (2024 - 2026):	20.0%
EBIT Expansion (2024 - 2026):	+ 17.3%
cRPO (mms):	719; + 24% YoY
Dollar-Based NRR:	118.0%

Key Highlights

- ❑ Sole public pure-play DevSecOps platform; cloud-agnostic and model-neutral across all deployment environments
- ❑ \$1.0B+ ARR crossed in FY2026; 1,456 customers >\$100K ARR, 155 customers >\$1M ARR (+26% YoY)
- ❑ 118% Dollar-Based NRR reflects durable expansion within existing enterprise customer base
- ❑ GitLab Duo Agent Platform launched FY2026 — introduces consumption-based pricing (GitLab Credits) as a new monetization vector alongside seat-based subscriptions
- ❑ FedRAMP Moderate ATO achieved FY2026; only DevSecOps platform with certified air-gapped deployment for regulated and government customers

3-Yr Share Price Performance



Investment Thesis

1.

Orbit is irreplaceable infrastructure in enterprise. Under one platform, Orbit handles origination, management, and compliance aspects of software deployment. All accompanied by an agentic suite.

2.

The company has simultaneously achieved top-bucket growth and operational efficiency. At 26% LTM growth and roughly 17% adj. EBITDA levels, management guides for this trend to stay intact in the near term.

3.

Orbit NRR is durable; at 118% LFY, the company has increased the number of enterprise customers. Orbit has rolled out usage-based pricing; an attachment to current seat-based plans. Taken together, while growth may slow in the out-years, expansion has greater visibility.

4.

Broad SaaS pricing corrections in the public market yields a discounted purchase price for Orbit. However, deal thesis is hinged on whether this correction holds. The downside case suggests incumbents expand to chew Orbit's market share; discounting purchase price, but hurting growth

Financial Overview

Operating Model	Historicals			Projections						
	2024A	2025A	2026A	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Total Revenue	579,906	759,249	955,224	1,136,717	1,335,642	1,549,345	1,774,000	2,004,620	2,225,128	2,425,389
% Growth		30.9%	25.8%	19.0%	17.5%	16.0%	14.5%	13.0%	11.0%	9.0%
Gross Profit	520,198	674,109	834,481	985,306	1,160,637	1,349,706	1,547,637	1,751,343	1,946,779	2,125,029
% Margin	89.7%	88.8%	87.4%	86.7%	86.9%	87.1%	87.2%	87.4%	87.5%	87.6%
Adj. EBITDA	5,375	86,911	173,733	176,191	233,737	302,122	381,410	471,086	567,408	666,982
% Margin	0.9%	11.4%	18.2%	15.5%	17.5%	19.5%	21.5%	23.5%	25.5%	27.5%
Free Cash Flow				98,070	151,712	214,311	285,764	365,506	450,120	536,771

Entry Valuation & Transaction Assumptions

Purchase Assumptions		
Share Price	\$	25.62
% Premium		30%
Offer Price (Per Share)	\$	33.31
FD Shares Outstanding (mms)		190
Equity Value (mms)	\$	6,318
(-) Net Cash		
TEV (mms)	\$	5,059

Entry Valuation	
NTM EBITDA Multiple	28.7x
NTM Revenue Multiple	4.5x

Precedent Deals			
Date	Target	Acquirer	EV / EBITDA Multiple
Jan-25	 ZUORA	 SILVER LAKE WATERMAN	~28.0x
Jan-25	 CERIDIAN	 THOMABRAVO	~35.0x
Feb-23	 coupa	 THOMABRAVO	~40.0x

Sources & Uses

Sources & Uses

Capital Sources

Term Loan B	1,410
Second Lien Debt	529
Revolving Credit Facility (Undrawn)	0
Sponsor Equity	3,603
Cash From Balance Sheet	1,060

Total Sources

6,600

Capital Uses

Purchase of Equity	6,318
Refinancing of Existing Debt	0
Financing Fees	42
Transaction Fees	40
Cash to Balance Sheet	200

Total Uses

6,600

Cost of Debt

Term Loan B Multiple

8.0x

SOFR Base Rate

4.5%

Spread

3.9%

Term Loan B All-In Rate

8.4%

Second Lien Debt Multiple

3.0x

PIK Interest

11.8%

Cash Interest

0.0%

Second Lien All-In Rate

11.8%

Revolver Multiple

1.0x

Commitment Rate

1.1%

Drawn Revolver Spread

3.0%

Revolver All-In Rate

7.5%

Entry Interest

TLB Interest

118

Revolver Commitment

2

Total Interest

120

% Sources

Debt	29.4%
Cash on Balance Sheet	16.1%
Sponsor Equity	54.6%

Leverage Ratios

Gross Leverage	12.0x
Net Leverage	10.9x
Net Coverage Ratio	1.5x

Debt Schedule

Debt Schedule	Entry	Yr-1	Yr-2	Yr-3	Yr-4	Yr-5	Yr-6	Exit
	2026	2027	2028	2029	2030	2031	2032	2033
Term Loan B:								
Beginning Balance	1,410	1410	1,327	1,208	1,046	835	571	250
(-) Mandatory Amorization		14	13	12	10	8	6	3
(-) Cash Flow Payment		69	106	150	200	256	315	376
% Cash Flow Sweep		70.0%	70.0%	70.0%	70.0%	70.0%	70.0%	70.0%
Ending Balance	1410	1,327	1,208	1,046	835	571	250	0
Average Balance	1410	1,369	1,315	1,248	1,165	1,066	950	831
Cash Interest	118	115	110	104	98	89	80	70
Second Lien:								
Beginning Balance	529	529	591	661	738	825	922	1,030
(+) PIK Accrual		62	69	78	87	97	108	121
Ending Balance	529	591	661	738	825	922	1,030	1,151
Average Balance		560	594	630	669	711	757	806
PIK Interest		66	70	74	79	84	89	95
Cash Flow Calculation								
Total Revenue		1136.717	1,336	1,549	1,774	2,005	2,225	2,425
Projected EBITDA		176	234	302	381	471	567	667
(-) D&A		17	20	23	27	30	33	36
(-) Interest Expense		118	115	110	104	98	89	80
(-) Revolver Commitment		2	2	2	2	2	2	2
(-) Cash Income Taxes		9	21	35	53	72	93	116
Net Earnings		34	80	135	200	273	353	437
(+) D&A		17	20	23	27	30	33	36
(-) Change in ONWC		(51)	(57)	(62)	(67)	(70)	(72)	(73)
(-) Capital Expenditures		5	5	6	7	8	9	10
Free Cash Flow		98	152	214	286	366	450	537
End of Year Net Debt	1,739	1,718	1,668	1,584	1,460	1,293	1,080	951

Returns Analysis

Returns Analysis

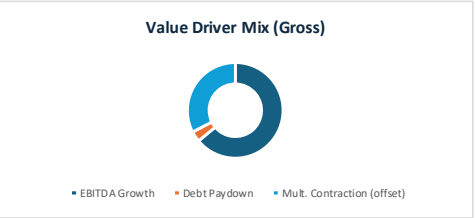
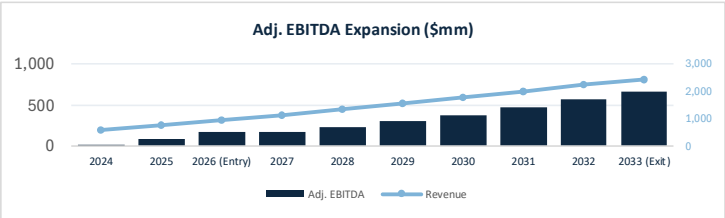
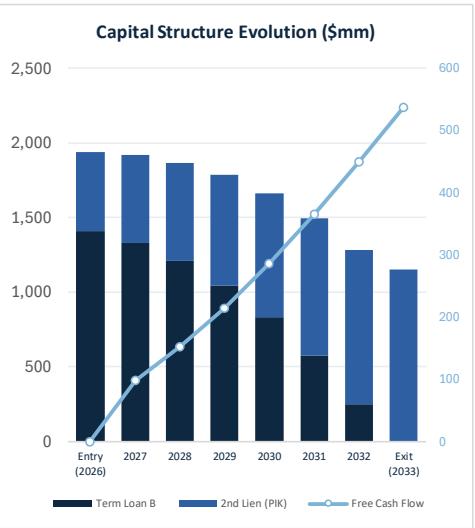
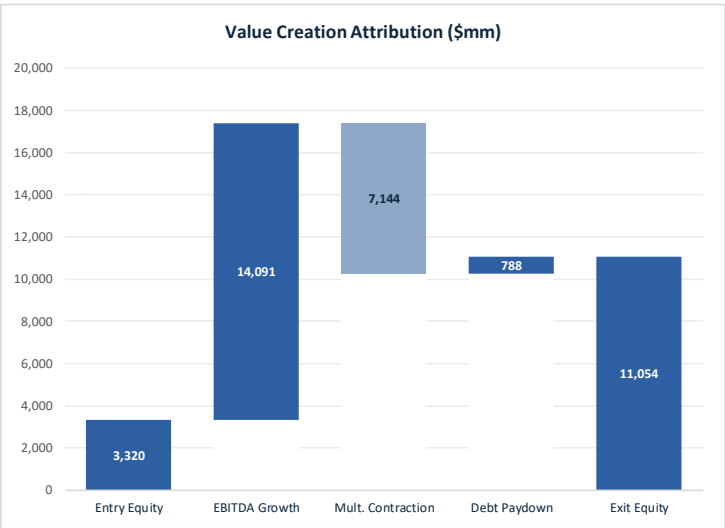
Entry Equity:	3,603
Exit Equity:	11,054
MoM:	3.1x
IRR:	17.4%
Hold Period:	7 yrs

Sensitivities

IRR Sensitivity						
Purchase Price		\$5,312	\$5,691	\$6,070	\$6,450	\$6,829
Price / Share		\$28.00	\$30.00	\$32.00	\$34.00	\$36.00
Exit Multiple	14.0x	3.2x	2.8x	2.5x	2.2x	2.0x
	16.0x	3.7x	3.3x	2.9x	2.6x	2.4x
	18.0x	4.3x	3.7x	3.3x	3.0x	2.7x
	20.0x	4.8x	4.2x	3.7x	3.3x	3.0x
	22.0x	5.3x	4.6x	4.1x	3.7x	3.3x

IRR Sensitivity						
Purchase Price		\$5,312	\$5,691	\$6,070	\$6,450	\$6,829
Price / Share		\$28.00	\$30.00	\$32.00	\$34.00	\$36.00
Exit Multiple	14.0x	18.2%	16.0%	14.0%	12.3%	10.7%
	16.0x	20.8%	18.4%	16.4%	14.6%	13.1%
	18.0x	23.0%	20.6%	18.6%	16.8%	15.2%
	20.0x	25.0%	22.6%	20.5%	18.7%	17.1%
	22.0x	26.9%	24.4%	22.3%	20.4%	18.8%

Visualizations



Key Risks & Mitigants

Accelerating Multiple

- ❑ Orbit currently trades at roughly 50% of its 52-wk high. At roughly 29x NTM EBITDA, IRR would only pass the hurdle at 25x.
- ❑ At the current multiple, gross leverage and coverage do not hold. Implying 54% sponsor equity in the base case.

Orbit's price corrects further due to incumbent pressure from Microsoft. At the \$29/sh, deal math holds over the hurdle rate

Growth Compression

- ❑ Orbit has yet to break GAAP profitability. On a Non-GAAP basis margins have expanded, but management guides for a haircut in the near term.
- ❑ Growth has run hot in the last 3 FY, 25.8% LTM. As Orbit prioritizes consumption-based attachments, growth is prone to decelerate.

Orbit has expanded Non-GAAP margins considerably. Cash on hand acts as a cushion, and FCF metrics are accelerating

Debt Service

- ❑ Debt burden is high at 12x gross leverage in the base assumption. Mezzanine debt requires PIK accrual with 0% cash interest. Interest coverage 1.5x on entry.
- ❑ Debt underwritten on NTM basis to discount aggressive multiple. If growth does not at least sustain. Coverage becomes problematic

Competitive moat is strong; pushing switching costs considerably. Deleveraging is attractive

Conclusion & Exit

Exit Summary

Deal thesis hinges primarily on further price contraction at entry, operational efficiency during hold, and rapid deleveraging.

Under base assumptions (29x EBITDA entry), price is steady and does not cross hurdle rate. Hurdle rate cross at 25x entry.

Exit Assumptions:

- ❑ Projected EBITDA at Exit: ~650 – 700 (\$ mms)
- ❑ Target Exit Multiple: 18x – 20x EBITDA
- ❑ Firm Value: ~12 – 13 (\$ bn)
- ❑ Net Leverage at Exit: 1.4x EBITDA
- ❑ Base MoM: 3.1x
- ❑ Base IRR: 17.37x

Strategic Sale



ORACLE

Secondary Exit



INSIGHT
PARTNERS

IPO

As a public take-private, Orbit could revisit IPO after operationalization. Even amidst tightening IPO window